

- **Your job history.** Lenders like to see that borrowers have a secure job. In general, if you've worked in the same industry for at least two years, they view you more favorably than if you've switched careers during that time. In the years leading up to the recent mortgage mess, lenders often failed to even check that a borrower actually held the job written on the application! Today they'll also verify your income with your current employer before giving you a loan. If you're self-employed, be prepared to prove what you earn.

## ↓ **THE REAL COSTS OF OWNING A HOME**

Owning a home can be great. But the fact is, when you become a homeowner, you'll run up a variety of expenses that you may never even have heard of as a renter. Here's a description of each:

- **Principal and interest.** Your monthly mortgage payment consists of two parts: principal and interest. The amount you borrow from the lender is known as the principal. The fee that the bank charges to lend you money is called interest, and it is expressed as an annual percentage. Suppose you get a mortgage of \$100,000 and you're expected to pay it back over 30 years (that's standard). If the lender charges you an interest rate of 7%, after 30 years you would have paid the lender back the \$100,000 in principal plus a total of \$139,509 in interest. (Shocking, isn't it?) In the early years of your loan, you're paying back mostly interest and very little principal. As time goes on, you start to pay back the principal. To soften the blow somewhat, you get to deduct your interest payments if you itemize your taxes, which can save you a lot of money. (For a discussion of what this means, see Chapter 9.) To get a feel for what your monthly mortgage payment would be, check out Figure 7-1.